

PUBLISHER'S NOTE

Elliott Wave Principle, by Robert R. Prechter and A. J. Frost, predicted in 1978 the great stock market boom that we have since enjoyed. This book presents a detailed analysis of its impending culmination and probable aftermath.

As *The Elliott Wave Theorist* put it, "we have been witnessing one mania, an investment mania, with various outlets." Robert Prechter initially addressed the culmination of this mania in *A Turn in the Tidal Wave*, published in the first quarter of 1989. That thesis pinpointed the peak in real estate (which had risen for 40 years), junk bonds (which at the time were considered the new and permanent engine of entrepreneurial activity), collector coin and art prices (which were then setting all time records), and most important, the end of a seven-year uninterrupted expansion in the economy. At a time when politics were considered so stable as to be immovable, it announced the arrival of a new trend toward divisive politics. The change has since become manifest in the three-way presidential race of 1992 and the anti-majority party Congressional landslide of 1994. (To be sure, far more divisive and revolutionary political changes lie ahead.) Despite these successes, the analysis of that time was wrong in calling for a top in stocks and high grade bonds. Bonds held up until 1993, and the stock indexes have held up until today.

This book is being published now to announce in no uncertain terms that the peak in the last element of the investment mania, blue chip stock averages, is at hand. All other investment markets, as well as some components of the economy, are peaking *below* their earlier highs. Together, they spell out one great message: the multi-decade financial tidal wave, which grew to a pinnacle of power over many decades and has spent several years rounding the curl, is now ready to crash. Every market that has participated in what history should designate as the Great Asset Mania will ultimately play its part in what promises to be a bear market of historic proportion.